6-4a First-In, First-Out Method

To illustrate the use of the FIFO method in a periodic inventory system, we use the same data for **Item 127B** as in the perpetual inventory example. The beginning inventory and purchases of Item 127B in January are as follows:

The physical count on January 31 shows that 800 units are on hand. Using the FIFO method, the cost of the goods on hand at the end of the period is made up of the most recent costs. The cost of the 800 units in the ending inventory on January 31 is determined as follows:

Deducting the cost of the January 31 inventory of $18,460 from the cost of goods available for sale of $45,180 yields the cost of goods sold of $26,720, computed as follows:

The $18,460 cost of the ending inventory on January 31 is made up of the most recent costs. The $26,720 cost of goods sold is made up of the beginning inventory and the earliest costs. Exhibit 6 shows the relationship of the cost of goods sold for January and the ending inventory on January 31.

Exhibit 6

First-In, First-Out Flow of Costs with Periodic Inventory